

CHAPTER 13

How Behavior Affects Asset Allocation Decisions

KEY CONCEPTS

- Behavioral finance is the study of investor decision making.
- Staying below your maximum tolerance for risk is critical to investment success.
- Asset allocation stress testing helps refine investor risk tolerance.
- Rebalancing keeps your portfolio in line with your investment policy.

Investor behavior is the second leg of asset allocation. A well-developed plan works only when the investor sticks to the plan through good markets and bad. This means being brutally honest about your ability to handle risk.

Modern portfolio theory (MPT) assumes that all investors have access to all available information about securities at the same time and that they act rationally on this information when making investment decisions. It presupposes that investors also understand the nature of risk and return in various markets, including the correlations between each market, when creating an asset allocation. Once an investment plan has been designed and implemented, the theory expects that rebalancing will occur in a disciplined manner to capture a diversification benefit and control risk.

Theory is theory. This is not how all investors act. Investors do have the intention of maximizing profit while minimizing risk; however, no individual can know what all market participants know in aggregate; and no individual investor will act unemotionally in every phase of portfolio management. The end result of these human tendencies is that most people have portfolio performance that is below the markets they are investing in.

Researchers have uncovered a surprisingly large amount of evidence showing that irrational behavior and repeated errors in judgment explain a significant portion of this known shortfall in individual investment